

UTILITY & WATER-SUPPLY RECEIVABLES · WHITE PAPER

Customer-Focused Utility Collections

How diplomatic, consumer-friendly recovery strategies save utilities money long-term

The shift toward customer-focused debt collection isn't just about ethics — **it's about economics**. For a utility, and especially a member-owned one, the customers behind on a bill are also the community the board answers to. The evidence from two decades of utility recovery work points one way: empathetic, compliant, customer-focused programs collect more money, cost less to run, and protect the relationships and reputation that aggressive approaches quietly destroy. This paper — adapted from an article by Southwest Recovery founder and CEO Steven Dietz — lays out the full argument: the hidden costs of the old way, the evidence for the customer-focused way, the specific strategies that deliver the savings, and how a utility puts the program into practice without adding a dollar of fixed cost.

Key takeaways

- Customer-focused strategies **increase recovery rates** while reducing operational costs and compliance violations — they outperform aggressive tactics on the very metric aggressive tactics claim to serve.
- Traditional hard-line methods carry **hidden costs** — customer churn, low recovery rates, and compliance fines — that compound over time and routinely exceed the value of the debt being chased.
- Flexible payment options and empathetic communication **preserve relationships**, converting adversarial standoffs into voluntary resolutions and producing higher long-term returns.
- Data-driven segmentation and automated reminders **optimize resource allocation** and prevent minor delinquencies from escalating into major collection problems.
- Coordinated effort across billing, customer service and analytics **maximizes effectiveness**, eliminates conflicting contact, and creates a seamless experience even in a collections conversation.

The economics, not just the ethics

Collections has an old reputation: pressure, threats, volume. For decades the industry assumed that firmer meant more effective — that recovery was a zero-sum contest between the creditor's money and the debtor's comfort. The operating experience says otherwise. Customer-oriented recovery programs deliver measurable benefits on every line that matters to a utility's ledger:

- **They collect more, and collect higher payments.** Cooperative debtors resolve balances; threatened debtors go silent. The tone of the first contact often decides which one you get.
- **They reduce operational costs.** Fewer escalations, fewer repeat contacts, fewer accounts stuck in limbo consuming staff hours.
- **They decrease charge-offs.** Balances that would have been abandoned as “uncollectible” under a pressure model resolve under a flexible one.
- **They strengthen long-term loyalty.** A customer treated fairly at their worst financial moment remembers it — and in a small service territory, so do their neighbors.

In Southwest Recovery’s experience across hundreds of thousands of consumer accounts, empathetic approaches consistently outperform aggressive tactics in both recovery rates and customer-satisfaction measures. That is the foundation of everything that follows: **the diplomatic approach is not the cost of doing collections respectably — it is the higher-yield strategy.**

The hidden costs of aggressive collections

Hard-line tactics look decisive on the surface and produce a *false economy* underneath — short-term recoveries that mask substantial hidden costs compounding over time. Three deserve a hard look.

1. Compliance violations turn into fines and lawsuits

Consumer collections is governed by the Fair Debt Collection Practices Act (FDCPA), the Telephone Consumer Protection Act (TCPA), and CFPB Regulation F — rules covering when a consumer may be contacted, how often, what may be said, and how disputes must be handled. Violations are not abstract risk:

- Individual violations carry statutory penalties of **\$500–\$1,500 per violation** — and violations rarely come one at a time.
- Class actions multiply exposure to **significantly higher penalties**, plus defense costs and settlements that dwarf the balances being collected.
- The mechanism is self-reinforcing: harsh tactics lower customer satisfaction, lower satisfaction drives complaints, and complaints drive both regulatory attention and legal exposure.

For a utility, the arithmetic is stark: one contested campaign of aggressive contact on a portfolio of \$150 final bills can generate legal exposure worth more than the entire placement. The penalties can far exceed the value of the collected debt — which makes compliance not a constraint on the recovery strategy but the first pillar of it.

2. Customer churn destroys long-term revenue

Every customer driven away permanently takes a long-term revenue stream with them. Aggressive collection trades tomorrow’s relationship for today’s balance — and the exchange rate is terrible. The losses cascade through the organization:

- The lost customer’s future business is usually worth **significantly more** than the single balance recovered through pressure.
- Replacing lost customers requires marketing spend, acquisition effort, and time.
- Rebuilding damaged trust costs more than maintaining it ever would have.
- The cycle repeats — raising operating expenses while shrinking the revenue base they support.

A utility feels a version of this even for customers who have already left the service area: former members talk, reviews accumulate, and a reputation for heavy-handed collections raises the temperature of every future board meeting and every future rate conversation with the members who remain.

3. The recovery-rate paradox

The most counterintuitive finding is also the most consistent: **aggressive collection tactics often produce lower recovery rates than customer-focused approaches**. The behavioral mechanism is simple — when debtors feel threatened or disrespected, they become less cooperative and more likely to avoid contact entirely. A consumer who screens your calls cannot negotiate a payment plan. The costs escalate from there:

- More resources are allocated per account as contact attempts multiply.
- Staff time extends as collectors pursue debtors who have gone unresponsive.
- Technology and contact costs rise while resolution rates fall.
- Administrative expense multiplies across a growing pool of unresolved cases.

The pressure model doesn't just cost goodwill — it costs money at the exact task it claims to be best at.

The evidence for the customer-focused approach

Against those hidden costs stands a body of operating evidence for the alternative. Three mechanisms do the work.

Flexible payment options increase recovery

The starting assumption of customer-focused work is that **most debtors want to repay but need accommodation** — a household behind on a water bill is usually a household managing a hard month, not a bad actor. Meeting that reality with installment options and realistic settlements changes outcomes:

- The likelihood of complete default drops — a plan someone can actually keep beats a demand they can't.
- The relationship stays positive, which keeps the conversation open until the balance resolves.
- Debtors respond to respect and support with constructive engagement — and constructive engagement is what shortens resolution timelines.

Empathetic communication preserves relationships

A customer-focused strategy is not just ethical but effective: it increases recovery rates *while* maintaining positive relationships, because it transforms the encounter from adversarial to collaborative. The collector stops being an adversary to outlast and becomes a counterpart to solve a problem with. The results follow directly: preserved relationships lead to voluntary compliance, voluntary compliance leads to faster resolution, and faster resolution reduces the total cost of every recovered dollar.

Data-driven segmentation optimizes resources

Not every delinquent account is the same account, and treating them identically wastes money in both directions. Understanding customer behavior and payment patterns enables efficient, appropriately-automated collection and strategic resource allocation:

- **Reliable payers who slipped once** get regular reminders — light-touch, automated, inexpensive.
- **Medium-risk accounts** get proactive intervention customized to their circumstances before the balance grows.
- **High-risk and aged accounts** get the skilled human attention that actually moves them — because it isn't being burned on the accounts that never needed it.

Segmentation is how a program maximizes efficiency while minimizing unnecessary contact — which is itself a compliance and goodwill win.

Proven strategies that deliver measurable savings

STRATEGY	WHERE THE SAVINGS COME FROM
Automated, personalized reminders	SMS, email and phone reminders significantly reduce late payments while requiring minimal human intervention. Early contact keeps minor delays from becoming major collection challenges — sustainable prevention that shrinks the collection workload at its source, without overwhelming staff.
Proactive pattern monitoring	Watching payment patterns and catching early warning signs means issues get addressed while they are still manageable — reducing the number of accounts that ever require intensive effort, and preserving the goodwill that makes future cooperation possible.
Cross-department coordination	When billing, customer service and analytics work from one playbook, the customer hears one consistent message. Conflicting communications disappear, resolution rates improve, and operational redundancies — two departments unknowingly working the same account — are eliminated.
Staff trained for the hard conversation	Collectors trained in empathetic communication, active listening and solution-oriented problem-solving handle difficult conversations professionally — producing better cooperation, higher resolution rates, and lower turnover in a role where turnover is expensive.
Compliance embedded, not bolted on	FDCPA / TCPA / consumer-protection protocols built into every step from first contact to final resolution — with regular audits, continuing staff education, and technology safeguards that prevent violations before they occur rather than paying for them after.

Putting it into practice: the implementation framework

Customer-focused collection isn't a slogan — it's infrastructure. Three components make it real, and a utility gets all three by choosing a partner that has already built them rather than standing them up internally.

The platform: payments, communications, analytics — integrated

The technical backbone joins payment processing, customer communications and analytics in one system. That integration is what enables the customer-focused behaviors at scale:

- Multiple payment options, so the way to resolve a balance is never the obstacle.
- Every interaction tracked, so no consumer is over-contacted and no promise is lost.
- Patterns analyzed continuously, so the strategy improves with every account worked.
- Communication timing, frequency and tone **adjusted automatically to each customer's preferences and response patterns** — maximizing engagement while respecting boundaries.

The people: trained for empathy, measured on resolution

Technology sets the table; trained people close the accounts. Customer-focused programs invest in empathetic communication skills, active listening, and solution-oriented problem-solving — with long-term relationship preservation as an explicit priority, not an afterthought. The payoff shows up in three places at once: customers cooperate more, resolution rates climb, and staff turnover falls in a job category where burnout is the norm under the pressure model.

The compliance architecture

In a customer-focused program, compliance protocols are embedded into every collection process from initial contact through final resolution — systematic protection rather than after-the-fact review. In practice that means regular auditing of accounts and calls, continuous staff education as rules evolve, and technology safeguards that make many violations mechanically impossible. The strategic value is double: it prevents expensive legal consequences, and it keeps every recovered dollar clean enough to stand behind publicly.

What this means for a member-owned water supply corporation

Your delinquent finals belong to people who were — and whose families may still be — part of your community. Every written-off final is absorbed by the members who stayed and paid; recovering them isn't aggressive, it's fair. But *how* they're recovered decides what it costs you:

A customer-focused recovery program is the version of collections a board can approve and defend at any community meeting — diplomatic contact, flexible arrangements, documented compliance on every account, and reporting the board can read at every meeting. It recovers more of the money the remaining members are absorbing, at zero upfront cost on contingency, without a single tactic that embarrasses the name on the water tower. **Diplomatic isn't the soft option. It's the profitable one.**

The long-term profitability case

The evidence overwhelmingly supports customer-focused debt collection as the most profitable long-term strategy. Organizations that implement it report higher recovery rates, reduced operational costs, and stronger relationships that keep generating value after the balance is resolved. The mechanism is simple arithmetic, compounding across four lines:

THE LINE ITEM	THE COMPOUNDING EFFECT
More collected	Cooperative debtors resolve balances that threatened ones never would — recovery rates rise on the same portfolio, with the same balances, purely from the change in approach.
Less spent per dollar	Prevention, automation and segmentation cut the cost of every recovered dollar — fewer contacts per resolution, fewer accounts stuck in intensive effort.
Fines avoided	Embedded compliance eliminates an entire risk category — the \$500-\$1,500-per-violation exposure and the class-action tail behind it.
Relationships kept	Positive cash flow, reduced outstanding balances, and customer relationships preserved — sustainable competitive advantages that compound over time.

There is an honest investment reality: customer-focused programs require upfront spending on technology, training and process development. But the long-term savings and revenue benefits far exceed those costs — and for a utility placing accounts with an established partner, the investment has already been made by someone else. That is the whole argument: **customer-focused collections aren't the compromise between recovery and reputation. They're how you get both.**

How a utility adopts this without adding a dollar of fixed cost

For a water supply corporation, adoption is deliberately light-lift — the program arrives with the partner, not the payroll:

- **The placement file already exists:** the delinquent-finals export from the billing system becomes the placement file; a good partner maps the columns once and every future placement takes minutes.
- **The office keeps its workflow:** no new software, no new staff, no collections training for a team that was hired to run a utility.
- **Contingency pricing means zero budget impact:** no upfront fee, no retainer, no minimum — the program funds itself exclusively out of dollars it recovers, so a board never has to appropriate for it.
- **The board sees everything:** live recovery reporting on demand — placements, contacts, recoveries, remittances — the numbers a board wants at every meeting, without asking the office to compile them.
- **The two levers for moved customers come built in:** professional skip tracing to locate former members who left no forwarding address, and credit-bureau reporting under the FCRA — the consequence that brings a small final bill back to the table, applied within the same customer-focused, compliant framework.

Measuring the program: what a board should track

A customer-focused program is also a measurable one — the same data discipline that drives segmentation and personalized contact produces the oversight numbers a board needs. Four measures tell the whole story, and a recovery partner should surface every one of them on demand:

MEASURE	WHAT IT TELLS THE BOARD
Recovery rate by age band	The percentage of placed dollars recovered, split by how old the balance was at placement. This is the number that proves the age curve — and makes the case for placing finals on a standing monthly schedule rather than in annual cleanups.
Placement freshness	The average age of accounts at the moment they're placed. It is the single measure the utility itself controls, and the one with the most leverage over results — fresher placements recover at several times the rate of aged ones.
Complaint rate	For a member-owned utility, the target is simple: zero. A customer-focused, compliance-embedded program should generate recoveries without generating grievances — and every contact is documented, so any question a member raises can be answered from the record.
Net-back to the corporation	Dollars remitted after the contingency fee — the only number that ultimately matters to the budget. Because the model is contingency-only, this figure can never be negative: the program's floor is zero cost, and everything above it is recovered revenue.

These four numbers, reviewed quarterly, give a board complete oversight of a collections program in fifteen minutes — recovery performance, process discipline, community impact, and financial return. That is what it means for compliance and customer focus to be architecture rather than promises: the proof is standing in the reporting, meeting after meeting, in numbers the office never has to compile by hand.

About Southwest Recovery Services

Southwest Recovery Services recovers utility receivables — water and wastewater (for municipal and private providers alike, including member-owned water supply corporations), electric, gas, telecommunications and waste services — on pure contingency since 2004, growing from one Texas office to 12 offices across 7 states. Residential accounts are worked under the FDCPA, TCPA and CFPB Regulation F with the customer-focused approach this paper describes; qualifying accounts are furnished to the major credit bureaus under the FCRA. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts nationwide — with no upfront fee, no retainer and no minimum. Southwest Recovery is an ACA International member with a clean compliance record since 2004.

Recovery your board can approve — and defend.

A short call to walk your delinquent finals, see the customer-focused program in practice, and put a contingency rate against a representative sample — no upfront fee, no retainer, no minimum.

Call **(866) 551-4684** · sdietz@swrecovery.com · swrecovery.com

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